

Payroll Processing Procedures

Owning area: Finance

Last reviewed: August 2026

Document owner: Head of Payroll Operations

Policy reference: FIN-PAY-004

Version: 3.2

1. Purpose and Overview

This procedure defines how IronStore prepares, reviews, approves, and records monthly payroll for employees and eligible contractors. It is intended to ensure accurate and timely payment, compliance with applicable employment and tax requirements, and appropriate protection of employee data.

IronStore operates across multiple European markets. Payroll processing may be performed through local payroll bureaus, but Finance remains accountable for the completeness of payroll inputs, approval controls, funding, and reconciliation.

The standard payroll payment date is the **25th calendar day of each month**, or the preceding banking day where the 25th is a weekend or public holiday. Local country calendars and statutory deadlines take precedence where required.

2. Scope

This procedure applies to:

- Monthly payroll for permanent, fixed-term, part-time, and temporary employees.
- Approved contractor payments processed through payroll or the designated contractor payment channel.
- Salary, commissions, bonuses, overtime, allowances, benefits, deductions, expenses included in payroll, and termination payments.
- Payroll processing for IronStore entities in Germany, France, the Netherlands, Belgium, Spain, Poland, and other approved European jurisdictions.
- Finance, People Operations, managers, and external payroll providers involved in payroll activities.

This procedure does not replace local employment law, collective agreements, tax rules, or country-specific payroll instructions. Where requirements conflict, the stricter statutory requirement applies and Payroll Legal Counsel must be consulted.

3. Policy Statement

IronStore pays employees accurately, on time, and in the currency specified in their employment contract. Payroll changes must be supported by an approved source document and entered into the designated system before the monthly cut-off.

Payroll information is confidential personal data. Access is limited to personnel with a documented business need and is managed according to the Information Security and Data Protection policies. Payroll files must not be sent through personal email, unsecured messaging applications, or unapproved file-sharing services.

No individual may create, amend, approve, and release the same payroll payment without independent review. Bank payment release always requires two authorised approvers.

4. Monthly Payroll Procedure

4.1 Payroll Calendar and Cut-Offs

The Payroll Operations Manager publishes the annual payroll calendar in January and updates it for country-specific holidays.

Standard monthly deadlines are:

- **Working day 1:** Previous month closes; payroll input period opens.
- **Working day 5:** Managers submit approved variable-pay and absence adjustments.
- **Working day 7:** People Operations closes employee master-data changes.
- **Working day 9:** Payroll prepares the preliminary payroll run.
- **Working day 11:** Finance completes variance review and control checks.
- **Working day 13:** Country payroll owner and Finance Controller approve payroll.
- **Working day 15:** Payment file and statutory payment instructions are released.
- **25th calendar day:** Employees receive net pay, subject to bank processing times.

Late submissions require approval from the Head of Payroll Operations. Changes received after payroll approval are normally processed in the following month unless legally or financially material.

4.2 Required Payroll Inputs

Payroll inputs must be submitted through **Workday**, **ServiceNow HR cases**, or the approved country payroll portal. Email instructions alone are not sufficient.

Required inputs may include:

- New starters, transfers, promotions, salary changes, and contract amendments.
- Leavers, termination dates, notice payments, and unused holiday balances.
- Approved overtime, shift premiums, commissions, sales incentives, and bonuses.
- Sickness, parental leave, unpaid leave, and other absence adjustments.
- Employee benefits, salary sacrifice, company car values, and taxable allowances.
- Expense reimbursements approved under the Travel and Expenses Policy.
- Court orders, statutory deductions, pension changes, and employee-requested deductions.

Every input must identify the employee, effective date, amount or rate, country, cost centre, and approving manager. Backdated changes must include the reason for the delay.

4.3 Employee Master Data

People Operations owns employee master data. Payroll may update bank details, tax information, or payment preferences only after receiving an authenticated request and completing verification.

Bank-account changes require:

- Employee submission through Workday or the secure HR portal.
- Confirmation against the employee's existing contact record.
- Independent review by a Payroll Specialist.
- A minimum **24-hour cooling-off period** before payment release, where operationally possible.

Requests received by telephone or from an unfamiliar email address must not be actioned without identity verification. Any suspected payroll diversion or social-engineering attempt must be escalated immediately to Information Security and the Financial Control Manager.

4.4 Payroll Calculation and Review

Payroll is calculated in **CloudPay**, using approved country configurations and data received from Workday. Local payroll bureaus may prepare calculations for jurisdictions where IronStore has outsourced processing.

The Payroll Specialist performs the first-level review, including:

- Employee count compared with the prior month.
- Gross pay, net pay, employer cost, and statutory liability movements.
- New starters and leavers.
- Salary changes and one-time payments.
- Negative net pay or unusually high deductions.
- Duplicate bank accounts, duplicate employees, or missing payment details.
- Country-specific tax, social-security, pension, and benefit calculations.

The preliminary payroll report is reviewed against the prior month and the approved headcount report. Variances above the following thresholds require documented investigation:

- **5%** movement in total gross payroll for a country.
- **10%** movement in an individual employee's gross pay, excluding approved annual increases.
- **€1,000** change in an individual employee's net pay.
- Any unexplained change in statutory liabilities or employer taxes.

The Payroll Specialist records explanations in the **Payroll Control Checklist**. Supporting documents must be attached to the payroll case or stored in the restricted Finance SharePoint library.

4.5 Approval Chain

Payroll approval follows this sequence:

1. Payroll Specialist completes the preliminary calculation and checklist.
2. Country Payroll Owner confirms local compliance and input completeness.
3. Finance Controller reviews variances, reconciliations, and accounting coding.
4. Head of Payroll Operations approves the final payroll register.
5. Treasury prepares and releases payments under the dual-authorisation bank mandate.

A payroll with unresolved material exceptions must not be approved. Exceptions below €500 may be approved by the Finance Controller when the issue is documented and correction timing is agreed. Exceptions of €500 or more, potential underpayments, or statutory compliance risks require approval from the Head of Payroll Operations.

4.6 Payment Processing

After final approval, Payroll exports the net-pay file from CloudPay and uploads it to **Kyriba** for payment preparation. Statutory tax, social-security, pension, and third-party payment files are prepared separately where required.

Treasury must verify:

- File total agrees to the approved payroll register.
- Number of employees agrees to the payment report.
- Bank account and currency information is complete.
- Payment date is consistent with the payroll calendar.
- Payment file has not been amended after approval.

Two authorised Treasury or Finance approvers must release the bank payment. Approvers must review the payment summary and may not approve a payment they prepared.

Returned or rejected payments are recorded in ServiceNow and investigated within **two business days**. Reissued payments require confirmation of the corrected bank details and approval from Payroll Operations.

4.7 Accounting and Reconciliation

Following payment, Payroll posts the payroll journal to **NetSuite** using the approved entity, department, cost-centre, and account mapping.

The monthly reconciliation must cover:

- Payroll register to bank payment total.
- Payroll journal to the approved payroll register.
- Gross wages to payroll expense accounts.
- Employee deductions to liability accounts.
- Employer taxes and social charges to statutory liability accounts.

- Pension, benefit, and third-party remittances.
- Accruals for bonuses, commissions, holiday pay, and unpaid payroll items.

The Finance Accountant completes the reconciliation by the **fifth business day of the following month**. Unreconciled differences must be assigned to an owner with a target resolution date. Aged items over 30 days are reported to the Financial Control Manager.

4.8 Payslips and Employee Queries

Payslips are issued through the secure **Workday Employee Portal** after payment release. Payroll must not send payslips as unencrypted email attachments.

Employees should raise payroll queries through ServiceNow within 30 days of receiving the payslip. Payroll acknowledges queries within one business day and aims to resolve standard issues within five business days.

Urgent cases include:

- Missed salary payments.
- Suspected unauthorised deductions.
- Incorrect termination payments.
- Potential tax or social-security errors.
- Disclosure of another employee's payroll information.

Urgent cases are escalated to the Payroll Operations Manager and People Operations on the same business day.

5. Data Protection and Record Retention

Payroll records must be stored in restricted folders with role-based access and audit logging. Access is reviewed quarterly by the Payroll Operations Manager and Finance Systems Administrator.

Payroll records must be retained according to the **FIN-REC-002 Records Retention Schedule** and applicable local law. As a minimum:

- Payroll registers, journals, approvals, and reconciliations: seven years.
- Tax, social-security, pension, and statutory filings: statutory period, or seven years where no longer period applies.
- Employee bank details and identity documents: only for the approved employment and legal retention period.
- Temporary working files: deleted within 90 days after completion of the relevant reconciliation.

Data incidents must be reported through the Security Incident Portal immediately and no later than four hours after discovery.

6. Roles and Responsibilities

- **Payroll Operations Manager:** Owns the procedure, calendar, controls, escalations, and provider performance.
- **Payroll Specialist:** Collects inputs, runs payroll, performs first-level checks, and maintains evidence.

- **Country Payroll Owner:** Confirms local compliance and validates country-specific calculations.
- **People Operations:** Maintains employee records, contracts, absences, and approved changes.
- **Managers:** Submit accurate and timely variable-pay, absence, and approval information.
- **Finance Controller:** Reviews variances, reconciliations, accounting treatment, and material exceptions.
- **Treasury:** Funds, validates, and releases payroll and statutory payments.
- **Finance Systems Administrator:** Manages system access, integrations, and audit logs.
- **Employees:** Review payslips and report suspected errors promptly.

7. Related Documents and References

- **FIN-PAY-001:** Payroll Governance Policy
- **FIN-PAY-006:** Bonus and Commission Approval Standard
- **FIN-EXP-003:** Travel and Expenses Policy
- **FIN-REC-002:** Finance Records Retention Schedule
- **SEC-ACC-001:** Access Control and Segregation of Duties Standard
- **SEC-INC-002:** Information Security Incident Reporting
- **HR-DAT-004:** Employee Master Data Management Procedure
- Country payroll calendars and statutory filing instructions
- CloudPay, Workday, Kyriba, NetSuite, and ServiceNow operating guides

8. Revision History

- **Version 3.2 — August 2026:** Updated payment controls, bank-detail verification, variance thresholds, and retention requirements.
- **Version 3.1 — February 2026:** Added Kyriba payment workflow and revised country payroll approval responsibilities.
- **Version 3.0 — September 2025:** Consolidated country procedures into the European payroll control framework and introduced the ServiceNow payroll case process.